Valuation Memorandum

To:
From: Jason Abed
Date: July 17, 2026
Re: Oracle Corporation (ORCL) — integrated three-statement model & scenario DCF

Summary: We built a fully linked three-statement model (FY2027–FY2036) driving a scenario DCF. Our base case — a midpoint between a conservative ramp and an aggressive AI buildout — estimates intrinsic value near $153/share against the current ~$127, about 21% upside. The full scenario range is $106 (bear) to $198 (bull).

Scenario results

Scenario	Value/sh	Upside	Rev FY36	Capex FY27
Bear	$105.58	(17%)	$181bn	$62bn
Base (midpoint)	**$153.10**	**+21%**	**$209bn**	**$78.5bn**
Bull	$198.02	+56%	$237bn	$95bn

Current share price $126.91 (July 16, 2026).

What drives the range. Revenue growth (AI/OCI demand) and capital-expenditure intensity are the swing factors. Operating income is similar across cases, so the spread reflects almost entirely the pace of the data-center buildout and its cash cost — not profitability.

Stress test (Bull, ~$95bn FY2027 capex). Cash turns negative (about –$15bn in FY2028–FY2029). Implying ~$16–17bn of additional debt or equity is required to fund the buildout. This corroborates the two headline risks: near-term capex / external financing, and potential share dilution.

Capital allocation. Excess free cash above a $15bn minimum is swept to debt paydown; the base case funds the buildout, holds a thin buffer through the FY2029 capex trough, then fully deleveraged by FY2036.

Key assumptions. WACC 8.5%; terminal growth 3.0%; normalized tax 17%; terminal value 82–85% of enterprise value. Net debt, cash, preferred and share count per the FY2026 Form 10-K.

Caveats. (1) Terminal value dominates enterprise value, so the estimate is sensitive to WACC and terminal growth (a sensitivity grid is built in). (2) Normalizing tax from Oracle's ~13% effective rate to 17% moves value ~$19/share; 21% would imply ~$96 in the conservative case. (3) Leases are excluded from the net-debt bridge, and stock comp is expensed rather than added back.

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